

Adopt Hybrid Pricing

We ask the executive team to approve Option C, hybrid pricing at \$599/month plus \$32/active user (D1), for new accounts from Q1 2027, seeking your final decision today. The pilot behind it lifted NRR (net revenue retention) from 104% to 122% (D2). Our financial model projects +\$1.9M ARR (annual recurring revenue), +11% (D3).

■ WHAT WE OBSERVED · DIAGNOSIS: PER-SEAT PRICING MISPRICES HOW CUSTOMERS BUY

- (a) Customers pay for seats they never use — median utilization is 61% (D4), and 72% of surveyed admins rank dormant-seat billing a top-3 frustration (D5).
- (b) The market has moved: win rate is 28% against usage-based rivals versus 46% against per-seat (D6), and pricing-model mismatch is now the #1 lost-deal reason, at 41% (D7).
- (c) The 23-account pilot proved the fix — NRR 122% versus 104% control (D2), win rate +9pp (D8), seat-admin tickets -61% (D9). It also exposed two containable risks: bill surprise, fixed by caps and alerts rated 4.4/5 (D10), and $\pm 14\%$ monthly revenue variance (D11).

■ PROPOSED SOLUTION · OPTION C, PHASED · THREE MOVES, SIX ACTIONS

New accounts from Q1 2027: [1] publish the hybrid price book, \$599/month plus \$32/active user (D1) (Pricing); [2] build the usage-billing infrastructure, \$480K with a seven-month payback (D12) (Engineering). **Migration through H2 2027,** toward the 122% NRR benchmark (D2): [3] voluntary grandfathered waves, seats stay the default (Customer Success); [4] spending caps and threshold alerts on every usage-billed account (D10) (Product). **Enterprise guardrail,** protecting the 63% flat-contract requirement (D13): [5] flat annual stays the default, usage on request only, capped (Sales); [6] sales-comp re-territorying across two quarters pre-launch (Sales Ops, Finance).

Non-goals: no repricing of grandfathered accounts; the Enterprise flat-contract default stands; no packaging changes this cycle.

■ DECISION REQUESTED · APPROVE OPTION C, PHASED AS PROPOSED

Upon approval: [1]–[2] go live in Q1 2027; [3]–[4] run through H2 2027; [6] completes pre-launch over two quarters; governance monthly for two quarters, then quarterly.

122%

Pilot NRR vs 104% control (D2)

+\$1.9M

ARR uplift in 12 months, +11% (D3)

41%

Lost deals citing pricing model (D7)

A1 · METHODOLOGY & SAMPLES

Closed-lost interviews (47 deals, H1 2026) · win/loss analysis (96 competitive deals, H1 2026) · admin survey (n=412, stratified by segment, ± 4.8 pp at 95% confidence) · usage telemetry (12 months, all accounts) · pricing pilot (23 accounts, 6 months, Feb–Jul 2026) · competitor scan (7 products, list pricing plus 14 anonymized discovery calls). Full instruments and cross-tabs: report appendices A–F.

A2 · DATA TRACEABILITY TABLE (ANCHORS D1–D13 CITED ON PAGE 1)

Anchor	Value	Source	Time / version	Crosscheck path
D1	Hybrid price: \$599/mo platform fee + \$32/active user	Pricing pilot design; team proposal	Feb–Jul 2026 pilot; Q3 2026 report	Report §6, §9 · App. E workbook
D2	Pilot NRR 122% vs 104% control-matched (n=23, 6 mo)	Pricing pilot cohort	Feb–Jul 2026	Report §6 · App. C billing detail
D3	+\$1.9M ARR (+11%) vs status quo, 12-mo projection at 60% new-account adoption	Financial model	Q3 2026 model	Report §7 · App. E scenarios
D4	Median seat utilization 61%	Usage telemetry, all accounts	12 mo to Q3 2026	Report §3 · App. F definitions
D5	72% of admins rank "paying for dormant seats" a top-3 frustration	Admin survey, n=412 (± 4.8 pp, 95% CI)	H1 2026 fieldwork	Report §5 · App. A cross-tabs
D6	Win rate 28% vs usage-based (n=31); 46% vs per-seat (n=52)	Win/loss analysis, 96 deals	H1 2026	Report §4 · App. B coded themes
D7	"Pricing model mismatch" #1 lost-deal reason: 41% (22% in 2025)	Win/loss + closed-lost interviews (n=47)	H1 2026 vs FY2025	Report §4 · App. B
D8	Win rate +9pp vs H1 baseline in 14 pilot-influenced deals	Pricing pilot	Feb–Jul 2026	Report §6 · App. C
D9	Seat-admin support tickets –61%	Pricing pilot	Feb–Jul 2026	Report §6 · App. C
D10	2 of 23 pilot accounts (9%) churned on bill surprise; caps + alerts rated 4.4/5	Pricing pilot	Feb–Jul 2026	Report §6 · App. C churn narratives
D11	Monthly revenue variance $\pm 14\%$ (pilot) vs $\pm 4\%$ (seat-based)	Pilot billing data	Feb–Jul 2026	Report §6 · App. C
D12	Billing infrastructure \$480K; payback 7 months	Financial model	Q3 2026	Report §7 · App. E
D13	63% of Enterprise deals required flat annual pricing	Procurement records	Trailing 12 mo to Q3 2026	Report §8 · App. D

A3 · SOLUTION-PROBLEM MAP ([1]–[6] × OBSERVED (A)–(C))

Action	Solves	Expected effect
[1] Hybrid price book, \$599/mo + \$32/active user	(a) seat waste · (b) market shift	Prices active use instead of dormant seats; answers the flexibility narrative
[2] Usage-billing infrastructure	enables [1] and [4]	\$480K investment, 7-month payback (D12)
[3] Voluntary grandfathered migration	(a)	Removes forced-change renewal risk; seats stay the default
[4] Spending caps + threshold alerts	(c) bill surprise	The pilot's 4.4/5-rated fix (D10)
[5] Enterprise flat-contract default	(c) procurement	Protects the 63% flat-annual requirement (D13)
[6] Sales-comp re-territorying	(c) org readiness	Two-quarter transition completes before Q1 2027 launch

A4 · ADVERSARIAL FAQ – THE HARDEST QUESTIONS WE EXPECT TODAY

Why not status quo (Option A)? Seat expansion, our historical growth engine, ran at +6% YoY in Q3 2026 versus +19% two years prior; pricing-model mismatch already drives 41% of lost deals; seat administration is the single largest support driver at 18% of ticket volume. Standing still compounds all three. (§1, §3, §4)

Why not full usage-based (Option B)? It maximizes the $\pm 14\%$ monthly revenue variance and breaks Enterprise procurement: 63% of Enterprise deals in the trailing 12 months required flat annual pricing. (§6, §8)

What if bill surprise repeats at scale? The two churned pilot accounts (9%) churned before mitigation; caps plus threshold alerts were rated 4.4/5 by the remaining pilot accounts. Bear case if mitigation fails: $-\$0.7\text{M ARR}$ — contained by voluntary-only migration, grandfathering, and monthly governance with a defined kill-switch. (§6, §7)

Do customers actually want this? Both halves are true: 68% of all admins prefer a predictable flat cost, while 57% of accounts above 100 active users — the highest-value cohort — prefer usage-based. The hybrid answers both: the \$599 platform fee gives predictability, and the \$32 active-user rate sits below the \$38 median acceptable per-active-user price (versus \$49/seat today). (§5)

Will the market converge back to flat bundles? Two usage-based competitors have begun testing flat "all-in" annual bundles. The phased, voluntary design keeps our exit cheap if the market converges. (§8)

What does this do to revenue predictability (the CFO's objection)? Pilot monthly variance ran $\pm 14\%$ versus $\pm 4\%$ under seat-based billing. Mitigations: the platform fee stabilizes the revenue base, spending caps bound the tail, and monthly governance tracks variance against a kill-switch. (§6, §8)

A5 · FINANCIAL SCENARIOS & ADDITIONAL EVIDENCE

Scenarios (12-month horizon): base case $+\$1.9\text{M ARR}$ (+11%) at 60% new-account adoption; bear case $-\$0.7\text{M ARR}$ if bill-surprise mitigation fails and churn doubles in migrated accounts; required billing infrastructure investment \$480K with payback in 7 months; sales-comp transition an estimated two quarters. (§7)

Evidence demoted from page one: 23% of purchased seats dormant for 90+ days and 34% of accounts buying at least 2x their active seat count, both tied to elevated renewal risk (§3); conjoint ranks pricing model the most important buying attribute at 34%, ahead of features 27%, support 21%, integrations 18% (§5); current baseline — 1,240 paying accounts, 38,400 paid seats, ARPA \$1,540/month, gross monthly churn 1.8% (§1); competitor mix — 3 pure per-seat, 2 usage-based, 2 hybrid of 7 scanned (§4).

A6 · RACI CHECKLIST – SIX ACTIONS, OWNERS, DEADLINES, MEET-TARGET TESTS

Phase	Item	Activities	Accountable	Deadline	Meet target
Q1 2027 · Launch	[1] Hybrid price book	Publish the \$599/mo platform fee + \$32/active-user price book for new accounts	Pricing	Q1 2027 go-live	New-account win rate +9pp vs H1 2026 baseline (D8)
Q1 2027 · Launch	[2] Billing infrastructure	Build usage metering, spending caps, threshold alerts	Engineering	Kickoff upon approval; live for Q1 2027	\$480K investment, 7-month payback (D12)
H2 2027 · Migration	[3] Migration waves	Run voluntary, grandfathered waves; seats stay the default	Customer Success	Through H2 2027	Migrated-cohort NRR toward the 122% benchmark (D2)
H2 2027 · Migration	[4] Caps + alerts	Enforce spending caps and threshold alerts on every usage-billed account	Product	Ships with [1]	Bill-surprise churn contained (4.4/5-rated fix, D10)
Ongoing · Guardrail	[5] Enterprise default	Hold the flat-annual default; usage on request only, capped	Sales	From Q1 2027	63% flat-contract requirement protected (D13)
Pre-launch	[6] Comp re-territorying	Re-territory sales compensation for usage revenue recognition	Sales Ops + Finance	Two-quarter transition, complete before Q1 2027	Comp plan live before launch

Deadlines reuse the rollout timing in report §9 (new accounts from Q1 2027; voluntary migration waves through H2 2027; estimated two-quarter comp transition). Governance cadence — monthly for the first two quarters post-launch, then quarterly — is this team's proposed tracking rhythm, with a kill-switch if migrated-account churn exceeds the pilot baseline.